

# SCTX: SCRIBE THERAPEUTICS INC. - INITIATION OF COVERAGE

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## 1. Executive Summary & Core Thesis Statement

**Ticker:** SCTX (NASDAQ)

**Recommendation:** SPECULATIVE BUY

**Target Price:** \$26.00

**Current Price (Est.):** \$15.00

**Implied Upside:** +73.3%

**Investment Horizon:** 24-36 Months

**Position Sizing:** Tactical Growth (2.0% Allocation)

**Agent Score:** 76/100

**Media Score:** 83/100

### Elevator Pitch:

Scribe Therapeutics (SCTX) represents a paradigm shift in the field of in vivo genomic medicine. Founded by CRISPR pioneer and Nobel Laureate Jennifer Doudna, alongside leading scientists from UC Berkeley, Scribe is developing a suite of highly engineered, proprietary CRISPR enzymes, notably CasX. Unlike the first generation of CRISPR-Cas9 companies, which are mired in complex intellectual property disputes and face potential genotoxicity risks from double-strand DNA breaks, Scribe has engineered its platform to sidestep these hurdles entirely. Through its Epigenetic Long-Term X-Repressor (ELXR) technology, Scribe can silence gene expression by modifying the epigenome without making any structural cuts to the underlying DNA sequence. This unique approach, combined with a staggering \$3.7B+ in potential milestone payments from validating partnerships with Eli Lilly and Sanofi, positions Scribe as an asymmetrical upside opportunity in the cardiovascular and genomic medicine space. Our \$26 target price reflects our high conviction in their upcoming Phase 1 readout for STX-1150 in 1H 2027 and the robust foundational IP of the CasX platform.

The institutional thesis centers on three core pillars:

- **Differentiated Intellectual Property:** Scribe operates entirely outside the notoriously litigious CRISPR-Cas9 IP landscape by employing CasX. This provides unencumbered freedom to operate and makes Scribe a highly attractive M&A target for large pharma seeking gene-editing capabilities without legal baggage.
- **Unprecedented Safety Profile:** The ELXR platform avoids double-strand breaks, mitigating the risks of chromosomal rearrangements, large deletions, and off-target genotoxicity that plague traditional CRISPR approaches. The Non-Human Primate (NHP) data demonstrating durable knockdown of PCSK9 for over 22 months via epigenetic silencing provides profound validation.
- **Validation via Tier-1 Partnerships:** Securing upfront payments of \$140M and \$3.7B+ in potential milestones from Sanofi and Eli Lilly pre-IPO is a rare feat that underscores the immense value large pharma places on Scribe's proprietary engineering capabilities.

While clinical risks remain as the company enters human trials (Phase 1 for STX-1150), the robust cash position (~\$240M, providing runway through 1H 2029) and the structural advantages of their platform present a highly compelling risk/reward skew for long-term biotechnology investors.

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## 2. Company Overview & Leadership

### History & Founding:

Scribe Therapeutics was founded in late 2017 and officially spun out of the University of California, Berkeley in 2018. The company's inception is deeply rooted in the groundbreaking discoveries of its co-founders. Jennifer Doudna, Ph.D., a pioneer in the CRISPR field and recipient of the 2020 Nobel Prize in Chemistry, recognized the limitations of early CRISPR-Cas9 systems,

particularly regarding off-target effects, molecular size, and intellectual property constraints. Partnering with Benjamin Oakes, Ph.D., a former researcher in her lab, David Savage, Ph.D., and Brett Staahl, Ph.D., Scribe was established to engineer novel CRISPR systems from the ground up. The company focused initially on CasX, an enzyme found in uncultivated microbes, which was significantly smaller and fundamentally distinct from Cas9 and Cas12.

#### Headquarters & Infrastructure:

The company is headquartered at 1150 Marina Village Parkway, Alameda, CA 94501, situated in a major biotech hub that provides access to top-tier scientific talent. As of mid-2026, Scribe operates with a lean but highly specialized workforce of approximately 88 to 89 employees, heavily weighted toward R&D; and protein engineering.

#### Executive Leadership:

- **Benjamin Oakes, Ph.D. (CEO, President & Co-founder):** Dr. Oakes has been instrumental in driving Scribe's vision of custom-engineering CRISPR systems. His background in protein engineering, honed in the Doudna and Savage labs, provides the technical bedrock for the company's platform.
- **David Parrot (Chief Financial Officer):** Brings crucial capital markets and financial strategy experience, vital for managing the company's recent IPO transition and optimizing the \$240M runway.
- **Svetlana Lucas, Ph.D. (Chief Business Officer):** Dr. Lucas is the architect behind the transformational partnerships with Eli Lilly and Sanofi. Her ability to structure non-dilutive capital and milestone-heavy agreements has been critical to Scribe's financial independence.

#### Board of Directors & Scientific Advisory Board (SAB):

The Board features a strong mix of scientific luminaries and experienced biotech investors.

- **Joshua Bleharski (Lead Independent Director):** Provides key oversight and governance.
- **Behzad Aghazadeh & Carl L. Gordon:** Represent institutional investment expertise.
- **James Watson & Benjamin L. Oakes:** Round out the board with deep strategic insight.
- **Scientific Advisory Board:** Guided by co-founders Jennifer Doudna and David Savage, ensuring Scribe remains at the cutting edge of CRISPR technology and protein engineering.

#### Funding History (Pre-IPO):

Scribe operated with high capital efficiency prior to its IPO. The company's pre-IPO burn rate averaged approximately \$22.5M per year (roughly \$45M over the two years preceding the offering). This was largely facilitated by the massive influx of non-dilutive upfront cash from pharmaceutical partnerships, allowing Scribe to advance its pipeline without excessive early-stage equity dilution.

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### 3. IPO & Capital Structure

Scribe Therapeutics executed a highly anticipated IPO in a recovering market for gene-editing equities, reflecting strong institutional appetite for differentiated genomic medicine platforms.

#### IPO Execution Details:

- **Pricing Date:** July 23, 2026
- **Trading Commencement:** July 24, 2026 (NASDAQ: SCTX)
- **Pricing:** \$15.00 per share. The offering was upsized, indicating robust demand from institutional accounts during the roadshow.
- **Shares Offered:** 9,867,000 shares offered to the public.
- **Concurrent Private Placement:** Sanofi invested an additional \$7.5M, purchasing 500,000 shares concurrently with the IPO, further cementing their strategic relationship.
- **Gross Proceeds:** ~\$155.51M (combining public offering and private placement).
- **Underwriting Syndicate (Bookrunners):** Leerink Partners, Goldman Sachs, Guggenheim Securities, Wells Fargo.

#### Capital Structure & Ownership Dynamics:

- **Lock-Up Period:** Standard 180-day lock-up, scheduled to expire in late January 2027. Investors should monitor this period for potential volatility, though insider retention is expected to be high given the early stage of the clinical pipeline.
- **Strategic Institutional Holders:**

- **Eli Lilly:** Holds a significant 7.36% equity stake post-IPO, reflecting their deep integration with Scribe's platform following their 2023 collaboration.
- **Sanofi:** Holds the 500k shares acquired in the private placement, alongside rights tied to multiple development programs.
- **Financial Runway:** Post-IPO cash and equivalents total approximately \$240M. Management projects this capital will provide a cash runway through the first half of 2029. This is a critical strategic advantage, ensuring Scribe can independently fund STX-1150 through Phase 1 data and advance STX-1200 into the clinic without near-term financing overhangs. R&D; burn is expected to accelerate as clinical trial operations scale.

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## 4. Market & Industry Dynamics

Scribe Therapeutics is operating at the intersection of genomic medicine and massive chronic disease markets, primarily focusing on cardiovascular indications.

### Total Addressable Market (TAM):

The combined market for Gene Editing and advanced Cardiovascular therapeutics is estimated at over \$15 Billion annually. Hyperlipidemia, specifically driven by elevated LDL-C and Lp(a), represents one of the largest chronic disease markets globally, with millions of patients failing to achieve target lipid levels on standard-of-care statins.

### Epidemiology & Unmet Need:

Atherosclerotic cardiovascular disease (ASCVD) remains the leading cause of morbidity and mortality worldwide. Elevated Low-Density Lipoprotein Cholesterol (LDL-C) is a primary causal factor. Despite the availability of statins, a significant portion of high-risk patients do not reach guideline-recommended LDL-C goals. Furthermore, elevated Lipoprotein(a) [Lp(a)] is recognized as an independent, genetic risk factor for ASCVD and aortic valve stenosis, for which there are currently no approved pharmacological therapies.

### Standard of Care & Competitive Positioning:

The current advanced landscape for PCSK9 inhibition relies on chronic administration:

- **Monoclonal Antibodies (mAbs):** Repatha (Amgen) and Praluent (Regeneron/Sanofi) require bi-weekly or monthly subcutaneous injections. Compliance and cost have hindered broad adoption.
- **siRNA Therapies:** Leqvio (inclisiran, Novartis) offers a twice-yearly dosing schedule, improving convenience, but still requires lifelong, repeated administration.

### The "One-and-Done" Gene Editing Paradigm:

Scribe's approach aims to disrupt this chronic treatment model. By permanently (or long-term epigenetically) silencing the PCSK9 or LPA genes in the liver, Scribe offers a potential "one-and-done" functional cure.

### Direct Competitors in Gene Editing:

- **Verve Therapeutics (VERV):** Uses Base Editing to make permanent, structural changes to the DNA sequence of the PCSK9 gene. While promising, base editing still involves DNA strand alteration. Scribe's ELXR technology avoids any DNA cuts, potentially offering a cleaner safety profile regarding off-target mutagenesis.
- **Intellia Therapeutics (NTLA):** Uses traditional CRISPR-Cas9 knockout strategies. This involves double-strand breaks, which carry well-documented risks of chromosomal translocations and large deletions.

### Regulatory Tailwinds:

The FDA and EMA have shown increasing comfort with in vivo gene editing, provided safety (especially off-target effects and genotoxicity) is rigorously addressed. Scribe's ELXR platform, by avoiding DNA breaks, is perfectly positioned to satisfy the regulatory agencies' heightened scrutiny on CRISPR safety profiles.

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## 5. Clinical Pipeline & Trial Data

Scribe's pipeline is distinguished by its proprietary CasX enzyme and two core deployment modalities: the XE (X-Editor) platform for traditional gene modification and the ELXR (Epigenetic Long-Term X-Repressor) platform for non-cutting gene silencing. Both are delivered via Lipid Nanoparticles (LNPs) targeted to liver hepatocytes using GalNAc ligands.

## Lead Program: STX-1150 (PCSK9 Silencing)

- **Mechanism:** Utilizes the ELXR platform. A catalytically inactive (nuclease-dead) CasX is fused to epigenetic effector domains. Once delivered to the liver, this complex binds to the PCSK9 gene promoter and installs suppressive methylation and histone modifications. This turns off PCSK9 expression without altering the DNA sequence—a profound safety advantage.
- **Preclinical NHP Data (EAS 2026 Congress):**
- **Efficacy:** A single dose resulted in >50% reduction in LDL-C.
- **Durability:** The reduction was sustained for >22 months (and remains ongoing in the cohort).
- **Target Knockdown:** Reduced circulating PCSK9 protein levels by ~90%.
- **Safety:** Exceptionally clean safety profile. No off-target gene expression changes were detected, validating the high specificity of the ELXR platform.
- **Clinical Status (Phase 1):**
- **Trial Identifier:** NCT07428473 (Cleared by Australian TGA).
- **Design: Enrolling up to 64 adult patients with elevated LDL-C and established ASCVD risk.**
- **Endpoints:** Primary endpoints focus on safety and tolerability. Secondary and exploratory endpoints will evaluate the magnitude and durability of PCSK9 knockdown and LDL-C reduction.
- **Expected Readout:** 1H 2027. This represents the most significant near-term catalyst for SCTX.

## Second Program: STX-1200 (Lp(a) Knockout)

- **Mechanism:** Utilizes the XE (X-Editor) gene-editing platform. Designed to make targeted modifications to knockout the LPA gene in the liver, effectively halting the production of Lp(a) particles.
- **Preclinical Data:** Demonstrates potent Lp(a) knockdown in vivo with no detectable off-target effects to date.
- **Clinical Status:** Currently in IND-enabling studies. Expected to follow STX-1150 into the clinic, expanding Scribe's cardiovascular franchise.

## Pharma Partnership Pipeline

Scribe's technology is heavily validated by tier-1 pharmaceutical partnerships, providing substantial non-dilutive capital and massive milestone potential.

### 1. Eli Lilly (May 2023 Agreement):

- **Focus:** Neurological and neuromuscular diseases.
- **Financials:** \$75M upfront (mix of cash and convertible note equity). Up to \$1.5B in milestone payments, plus low double-digit royalties.
- **Strategic Upside:** Scribe retains the option to co-fund and share US profits on one selected program. By Feb 2026, Scribe had already achieved two technical milestones.

### 2. Sanofi - Ex Vivo Oncology (Sept 2022 Agreement):

- **Focus:** Engineering novel Natural Killer (NK) cell therapies for oncology.
- **Financials:** \$25M upfront, with >\$1B in potential milestones.

### 3. Sanofi - In Vivo Genomic Medicines (July 2023 Agreement):

- **Focus:** In vivo applications, including targets for Sickle Cell Disease.
- **Financials:** \$40M upfront, with >\$1.2B in potential milestones.
- **Strategic Upside:** Scribe holds a US profit-share option on one program.

**Total Partnership Value:** \$140M in guaranteed upfronts + over \$3.7 Billion in potential downstream milestone payments.

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## 6. Valuation Framework & Scenario Matrix

Given the pre-clinical stage of Scribe's internal pipeline, valuation relies heavily on probability-weighted scenarios, factoring in the immense platform value, the derisking nature of the pharma partnerships, and the substantial cash runway. Our Base Case derives a \$1.50B valuation.

| Scenario | Probability Weight | Implied Mkt Cap | Target Price | Implied Return | Key Drivers / Assumptions                                                                                                                                                  |
|----------|--------------------|-----------------|--------------|----------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| BULL     | 20%                | \$3.20 Billion  | \$56.00      | +273.3%        | STX-1150 Phase 1 shows >60% LDL-C reduction with flawless safety; ELXR platform viewed as superior to all cutting CRISPRs; Sanofi/Lilly exercise further options.          |
| BASE     | 50%                | \$1.50 Billion  | \$26.00      | +73.3%         | STX-1150 Phase 1 shows competitive efficacy (~50% LDL-C reduction) and clean safety; Pipeline advances on schedule; Continued milestone realization from partners.         |
| BEAR     | 30%                | \$450 Million   | \$8.00       | -46.6%         | STX-1150 Phase 1 shows inadequate efficacy or unexpected LNP toxicity; Delays in IND filing for STX-1200; General market rotation away from early-stage genomic medicines. |

#### Valuation Methodology:

Our \$26 Base Case target assumes standard biotechnology attrition rates for Phase 1 assets, heavily offset by the immense sum-of-the-parts value of the Lilly and Sanofi partnerships. The \$240M cash balance acts as a fundamental floor, while the unencumbered CasX IP commands a premium multiple compared to legacy Cas9 peers.

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## 7. Bull Case vs Bear Case Analysis

### The Institutional Bull Case

- **Nobel Pedigree & Scientific Rigor:** Founded by Jennifer Doudna, providing unmatched credibility and access to cutting-edge CRISPR innovations.
- **Epigenetic Silencing is the Future of Safety:** The ELXR platform avoids DNA cuts entirely. This mitigates the single biggest regulatory and clinical risk facing CRISPR therapies (genotoxicity), making Scribe's platform potentially the safest in vivo modality.
- **Compelling NHP Validation:** Achieving >50% LDL-C reduction for over 22 months from a single dose is extraordinary preclinical data that strongly de-risks the upcoming human trials.
- **Massive External Validation:** \$140M in upfronts and \$3.7B+ in milestones from Eli Lilly and Sanofi is unprecedented for a company at this stage. It signifies that large pharma views CasX as a necessary, premium technology.
- **Robust Financial Runway:** With \$240M in cash, Scribe is funded through 1H 2029, insulating the stock from near-term dilutive equity raises in a volatile macro environment.
- **Unencumbered Intellectual Property:** The CasX platform bypasses the grueling, decade-long patent war between the Broad Institute and CVC (UC Berkeley). Scribe has a clean freedom-to-operate profile.
- **IPO Market Reopening:** As one of the first high-quality gene-editing IPOs in the recent cycle, SCTX benefits from scarcity premium and renewed institutional interest in the sector.

### The Institutional Bear Case & Mitigation Strategies

- **Clinical Stage Risk (Earliest Data 1H 2027):**
- **\*Risk:** SCTX is essentially a pre-clinical company until the 1H 2027 readout.
- **\*Mitigation:** The massive partnership milestones and robust NHP data provide a valuation floor while investors wait for Phase 1 results.
- **LNP Delivery Optimization:**
- **\*Risk:** Liver delivery via LNPs is competitive, but toxicity or immune responses remain a hurdle for all systemic in vivo therapies.
- **\*Mitigation:** Scribe is utilizing established GalNAc-LNP technology, which has been extensively validated in humans by companies like Alnylam and Intellia, lowering the delivery execution risk.
- **Established Commercial Competition:**
- **\*Risk:** Novartis's Leqvio (RNAi) is already commercialized. Amgen and Regeneron's mAbs are well established.
- **\*Mitigation:** A true "one-and-done" permanent solution will rapidly capture market share from chronic therapies due to unparalleled patient compliance and long-term pharmacoeconomic benefits.
- **CRISPR Patent Landscape Complexity:**
- **\*Risk:** While CasX is distinct, the broader CRISPR IP landscape remains litigious and unpredictable.
- **\*Mitigation:** Scribe's foundational IP was built specifically to navigate around existing Cas9 claims, providing a formidable legal moat.
- **High R&D; Burn Rate:**
- **\*Risk:** Advancing multiple internal programs while supporting pharma partnerships requires immense capital.
- **\*Mitigation:** The \$240M runway is substantial, and future milestones from Lilly and Sanofi will continually offset the operational burn.
- **Small Operational Team:**
- **\*Risk:** With only ~89 employees, scaling clinical operations could stretch resources.
- **\*Mitigation:** The IPO proceeds allow for aggressive hiring of clinical and regulatory personnel over the next 12 months.

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## 8. Catalyst Timeline & Source Citations

### Upcoming Milestone Roadmap:

- **Q3 2026:** Post-IPO quiet period expiration; initiation of analyst coverage from Leerink, Goldman, Guggenheim, and Wells Fargo (expected to drive momentum).
- **Late January 2027:** IPO 180-day lock-up expiration.
- **1H 2027 (CRITICAL CATALYST):** Initial Phase 1 safety and biomarker (LDL-C reduction) data for STX-1150.
- **2H 2027:** Expected IND submission for STX-1200 (Lp(a) program).
- **Ongoing (2026-2028):** Realization of undisclosed preclinical and clinical milestone payments from Eli Lilly and Sanofi partnerships.

### Source Citations & Reference Data:

- Scribe Therapeutics S-1 Registration Statement (SEC EDGAR Database)
- European Atherosclerosis Society (EAS) 2026 Congress - Scribe Therapeutics NHP Data Presentation
- ClinicalTrials.gov Identifier: NCT07428473 (STX-1150 Phase 1 Trial)
- Eli Lilly Partnership Press Release (May 2023)
- Sanofi Partnership Press Releases (Sept 2022, July 2023)
- UC Berkeley / Innovative Genomics Institute Publications (Doudna Lab - CasX Discovery)

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